WARRANTY ATLAS · Alabama (AL)

Law last amended: 2022 (eff. 2022-06-01) · Next scheduled change: none found · Last verified: 2026-10-06 · Built 2026-10-22

Cites: Ala. Code § 8-20-7; Ala. Code § 8-20-7(e) (claims, audit/chargeback); Ala. Code §§ 8-20-11, 8-20-12 (remedies, limitations)

Labor reimbursement by coverage type

Coverage	Status	Paid hours	Pinpoint / date note
Factory warranty	**Required**	Factory time (reasonable/adequate standard where stated)	§ 8-20-7(c); see (b) (warrantor supplies 'the time allowance')
Mfr-backed service contract	**Not addressed**	-	§ 8-20-7(a)(6)
CPO warranty	**Required**	Factory time (reasonable/adequate standard where stated)	§ 8-20-7(a)(6)
Independent service contract	**Not addressed**	-	§ 8-20-7(a)(6)

Hourly rate: Floor = dealer's retail rate for like nonwarranty service (if not unreasonable); at dealer's election, set from 100 sequential qualified-repair ROs or all ROs in 90 consecutive days (whichever fewer), ≤180 days old: total labor charges ÷ hours; effective 45 days after receipt unless rebutted; ≤1x per 12 months.

Audit fields

Field	Rule	Pinpoint
Claim decision	30 days; late claim deemed approved: Yes. The disapproval must be specific and in writing. Preauthorized claims may not be disapproved. A claim may not be unreasonably denied only for an incidental clerical or administrative error; a denial must rest on a material defect and deviation from the manufa…	§ 8-20-7(e)
Payment	30 days after approval. Dealer filing deadline: Silent. After neglect, oversight or mistake, the dealer may file an amended claim, or a claim it missed filing within the warrantor's tim…	
Chargebacks	12 months; fraud: No longer period for fraud. The statute gives the audit and chargebac…. The warrantor may audit and charge back only fraudulent claims, for up to 12 months from the date the claim was paid. The statute grants no other chargeback ground. § 8-20-4(3)u has a parallel rule for incentive claims.	§ 8-20-7(e)
Rate resubmission	not more frequently than once per 12-month period. Sample: 100 ROs or 90 days (fewer of the two samples); ROs <= 180 days old. Excluded: Discounted / promotional, Internal, Routine maintenance, Accessories, Tires, Alignments, Prep / reconditioning, State inspections, Government, Collision / body / glass, Insurance-paid, Goodwill, Other (see text).	§ 8-20-7(f)(3); see (f)(2) (sample), (f)(4) (frequency), (f…
Mfr response	45 days; no response = approved: Yes. Challenge: Within 45 days the warrantor must reasonably substantiate that the submission is materially incomplete, materially inaccurate, or materially unreasonable. One relevant factor is the prevailing wage rates paid by similarly situated dealers in the state ((f)(8)… Forum: Court action by the dealer within 120 days of the written rejection…..	§ 8-20-7(f)(6)a.; see (f)(6)b., (f)(7), (f)(8)
Penalties	Civil action to enjoin violations and recover damages plus costs, including a reasonable attorney's fee (§ 8-20-11). Four-year limitations period, with accrual on discovery (§ 8-20-12). Rate disputes go to court under § 8-20-7(f)(7). None in ch. 20. The chapter has no licensing-agency sanction provision.	Ala. Code §§ 8-20-11, 8-20-12, 8-20-7(f)(7)
Audit procedures	Audit climate score 31/100 (Elevated restrictiveness; chargeback limits 31/75 + process and oversight 0/25; measures how strict the law is, not how likely a dispute is; weights in draft). Advance notice: no; selection basis disclosed: no; frequency cap: none; written reasons: no; response period: none; internal appeal: no; held pending appeal: no; extrapolation: silent; clerical-error protection: yes; rate validation: broader or no procedure.	

Statute quotes

Claims *(§ 8-20-7(e)): "any claim not specifically disapproved in writing within 30 days after the receipt shall be construed to be approved and payment must follow within 30 days."*
Chargebacks *(§ 8-20-7(e)): "the warrantor retains the right to audit such claims and to charge back the dealer for any fraudulent claims for a period not to exceed 12 months from the date the claim was paid."*
Rate *(§ 8-20-7(f)(3); see (f)(2) (sample), (f)(4) (frequency), (f…): "The dealer shall calculate its labor rate by determining the total charges for labor from the qualified repairs submitted and dividing that amount by the total number of hours that produced the charges."*
Factory time *(§ 8-20-7(c); see (b) (warrantor supplies 'the time allowanc…): "Time allowances for the diagnosis and performance of warranty work and service shall be reasonable and adequate for the work to be performed."*

Notes

The retail-rate floor in (c) does not apply to motor-home residential components or to 'parts related to motorcycle repairs'. 'Warranty work' covers new-vehicle warranty, recall and CPO warranty ((a)(6)). § 8-20-7.1 (recall/stop-sale claims) applies the § 8-20-7 claim rules but cites 'subsection (d)'; the claim rules are actually in (e). Both the chargeback window and the audit right are limited to FRAUDULENT claims.

Source: official · https://alison.legislature.state.al.us/code-of-alabama?section=8-20-7 · Confidence: high. Public-source research summary for audit planning, not legal advice. No company-approved rates. Confirm against the cited statute; escalate disputes to Legal.